

Supply Chain Diversification as Insurance

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For decades, global value chains were largely evaluated through the lens of efficiency and productivity. However, after Covid-19 and the rise in geopolitical tensions, integration into international production is increasingly seen as a risk to economic security. In policy circles, various proposals are discussed to "de-risk" supply chains. Often, the focus of these discussions is the central role that China plays in many supply chains. The Financial Times recently reported that the European Commission is considering rules that would limit firms in selected sectors to sourcing no more than 30–40% of critical inputs from a single supplier.¹

This note asks how such efforts to diversify supply chains are likely to affect the wider economy. The empirical evidence is still limited, but recent studies using French and Swedish firm-level data already point to an important pattern: large firms diversify suppliers, while smaller firms tend to stockpile inputs.

The old equilibrium: efficiency under low risk

When designing their supply chains, firms face a myriad of decisions: which inputs to source, from where, and from whom. They need to select suitable source countries and find firms that can reliably supply the required products and services. To avoid paying these upfront costs many times over, theory would predict firms to limit the number of suppliers they source from. Offshore sourcing also allows manufacturers in high-wage countries to lower production costs, partly by drawing on suppliers in countries with lower labour costs. These investments in their supply chains allow firms to produce more efficiently.

The economics of supply chain diversification

However, the risks of international exposure have become all too salient in recent years. One way for firms to insure themselves against supply shortfalls is to source a single input from multiple suppliers; Shocks that affect one supplier, for example disruptions in a specific shipping lane, would then have a lower impact on supplies sourced from a different upstream partner. But, just as in the market for health insurance, this comes at a premium: if the initial supply chain was chosen to minimise costs under the old risk environment, a more resilient alternative will usually involve higher normal-times costs. In trade theory, gains from trade are typically driven by two forces: comparative advantage and economies of scale. If the upstream country has a comparative advantage in producing a certain good, for example labour-intensive goods in a labour-abundant country, then alternative locations are likely to

¹[EU plans to force companies to buy parts from non-Chinese suppliers](#), Financial Times, 2026.

supply that good less efficiently. If, however, economies of scale are the main driver of cost savings from international sourcing, fragmenting the sourcing of an input across multiple firms will result in smaller suppliers, with less opportunity to capitalise on those scale effects.

What is already happening?

Given these are current events, economists do not yet have large amounts of data to work with. There are, however, two separate studies from France and Sweden that find common patterns. Two competing strategies for insuring against supply chain risks are found: stockpiling, and diversifying.^{2 3} Smaller firms typically insure themselves by stockpiling inputs, whereas larger firms are more likely to diversify their supplier network. This likely reflects different cost structures. For smaller firms, repeatedly paying the fixed costs of finding and managing new upstream partners is relatively harder than for larger firms. Conversely, the cost of storing and managing inventories rises with firm size, making stockpiling less attractive at larger scale.

The long-run effects of a de-risked scenario

Adjustments to supply chains take time. The implications laid out here should therefore be understood as long-run effects, not as immediate outcomes. The gains in security come at a loss of efficiency, resulting in higher production costs that are likely to be at least partly passed on to consumers. From an economist's perspective, however, this need not be inefficient. Recent trade disruptions have strengthened the case for treating resilience as a form of insurance: costly in normal times, but valuable when supply chains come under stress.

²[Inventories, diversification, and trade vulnerabilities](#), Lafrogne-Joussier, 2026.

³[Global Supply Risks and Resilience](#), Tillväxtanalys, 2025.